TECHNICAL NOTE 1

FROM REACTIVE TO STRATEGIC INTELLIGENCE

Competitive Dynamics, AMC Framework, and Exchange Value

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1. Introduction: The Evolution of Competitive Intelligence

The evolution of the Competitive Intelligence (CI) field reflects a fundamental transformation in how organisations conceptualise their relationship with the competitive environment. This technical note traces this evolution from static analysis to dynamic competitive intelligence systems, culminating in a unified methodology for *predicting competitor behaviour* and *evaluating strategic scenarios*.

The Central Question: Before taking any strategic action, executives need to answer: "What will competitors do in response, and what will be the economic consequences?" This note provides a systematic framework to answer both parts of this question.

1.1 The Porter Era: Static Competitive Analysis

Michael Porter's seminal work *Competitive Strategy* (1980) established the foundational paradigm for competitive analysis. His Five Forces model treated competitive analysis as a static mapping exercise, examining Industry Rivalry, Threat of New Entrants, Bargaining Power of Suppliers and Buyers, and Threat of Substitutes.

While revolutionary at the time, Porter's approach implicitly assumed that the strategist could observe the competitive system from outside, like a scientist observing an experiment. The competitive landscape was treated as a photograph—a moment frozen in time that could be analysed at leisure. This static view, while helpful in understanding industry structure, provided limited guidance for the dynamic reality of competitive interaction.

1.2 The Paradigm Shift: Competitive Dynamics

Contemporary competitive reality fundamentally challenges the static premise. Chen and Miller (2012) demonstrated empirically that competition is inherently dynamic: one company's actions provoke competitor responses, which in turn generate counter-responses, creating cascades of strategic moves that unfold over time. Competition, in this view, is not a photograph but a chess match—or more accurately, a chess match where multiple players move simultaneously on an ever-changing board.

The Airline Price War of 2019

Consider what happened when Norwegian Air announced ultra-low-cost transatlantic flights from London to New York at £99. Within 72 hours, British Airways responded with matched promotional fares. Within two weeks, Virgin Atlantic launched a counter-campaign emphasising service quality. Within a month, legacy carriers had collectively lobbied for regulatory review of Norwegian's operating model.

This cascade—from single competitive action to industry-wide strategic repositioning—illustrates the core insight of competitive dynamics: every move creates ripples that reshape the competitive landscape.

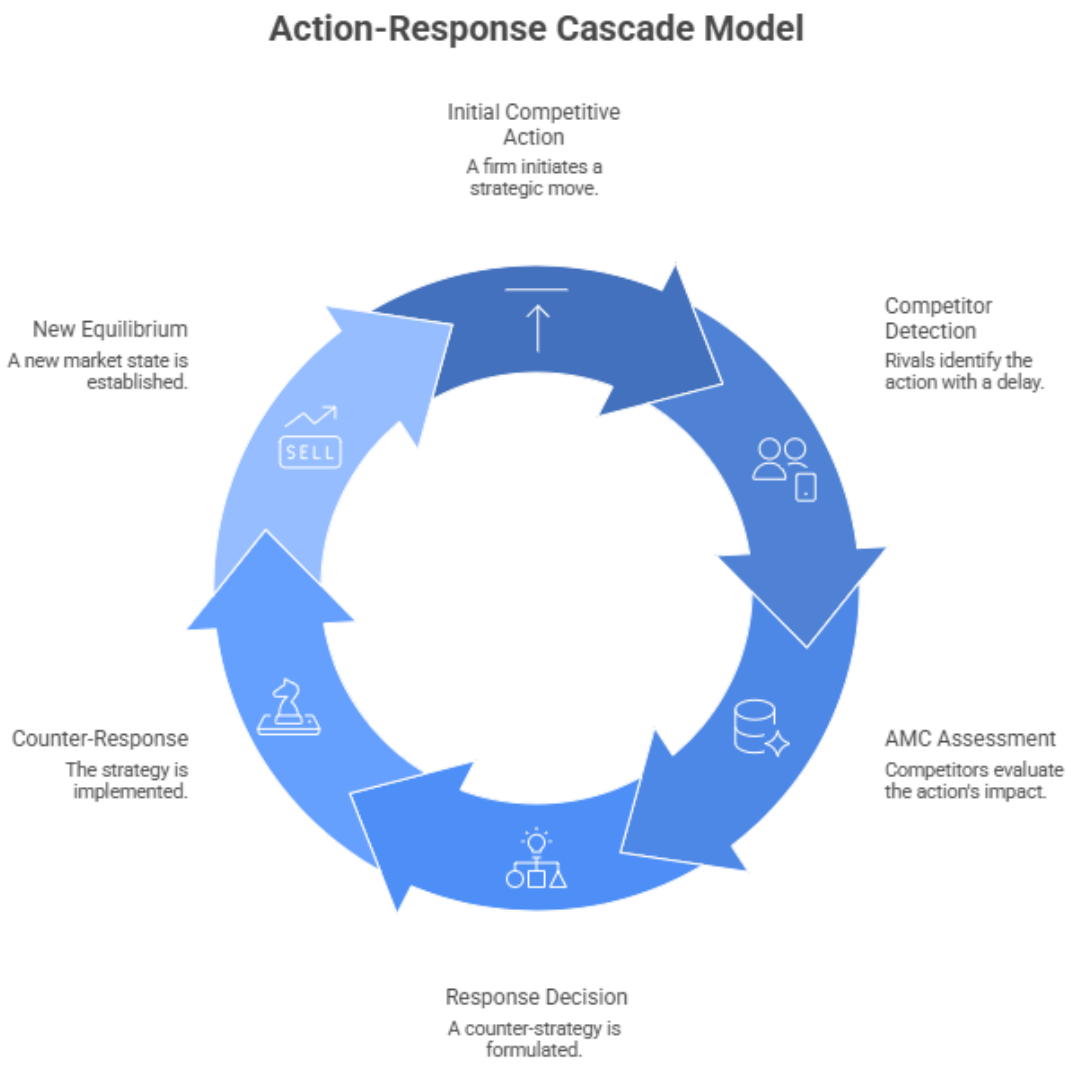
Key Insights from Competitive Dynamics Research

Action-Response Sequences: Competitive moves follow predictable patterns based on industry structure and firm characteristics. Research shows that the average time between a competitive action and the first competitor response varies dramatically by industry—from hours in financial services to months in pharmaceuticals. Understanding your industry's "response clock" is essential for timing strategic initiatives.

Speed Matters, But Not Always First: First-mover advantages exist, but fast-follower strategies can be equally effective. Apple rarely enters markets first (smartphones existed before the iPhone, tablets before the iPad, and smartwatches before the Apple Watch). Yet, it consistently captures dominant positions by learning from pioneers' mistakes and entering with superior execution.

Competitive Repertoires: Firms develop habitual patterns of competitive behaviour—their "playbook" of preferred responses. Amazon's repertoire emphasises price aggression and logistics investment; Apple's emphasises premium positioning and ecosystem lock-in; Google's emphasises free services funded by advertising. These repertoires are remarkably stable over time and highly predictive of future behaviour.

Mutual Forbearance: Multi-market contact can paradoxically reduce competitive intensity. When Coca-Cola and PepsiCo compete in cola, sports drinks, bottled water, and juice simultaneously, aggressive action in any one segment risks retaliation across all segments. This creates implicit "spheres of influence" and tacit coordination.



From Understanding to Prediction: The Analytical Challenge

The shift from static to dynamic analysis creates a new analytical imperative: we must not only understand the current competitive landscape but also *predict how it will evolve* in response to our actions. This requires two capabilities that form the core of this technical note:

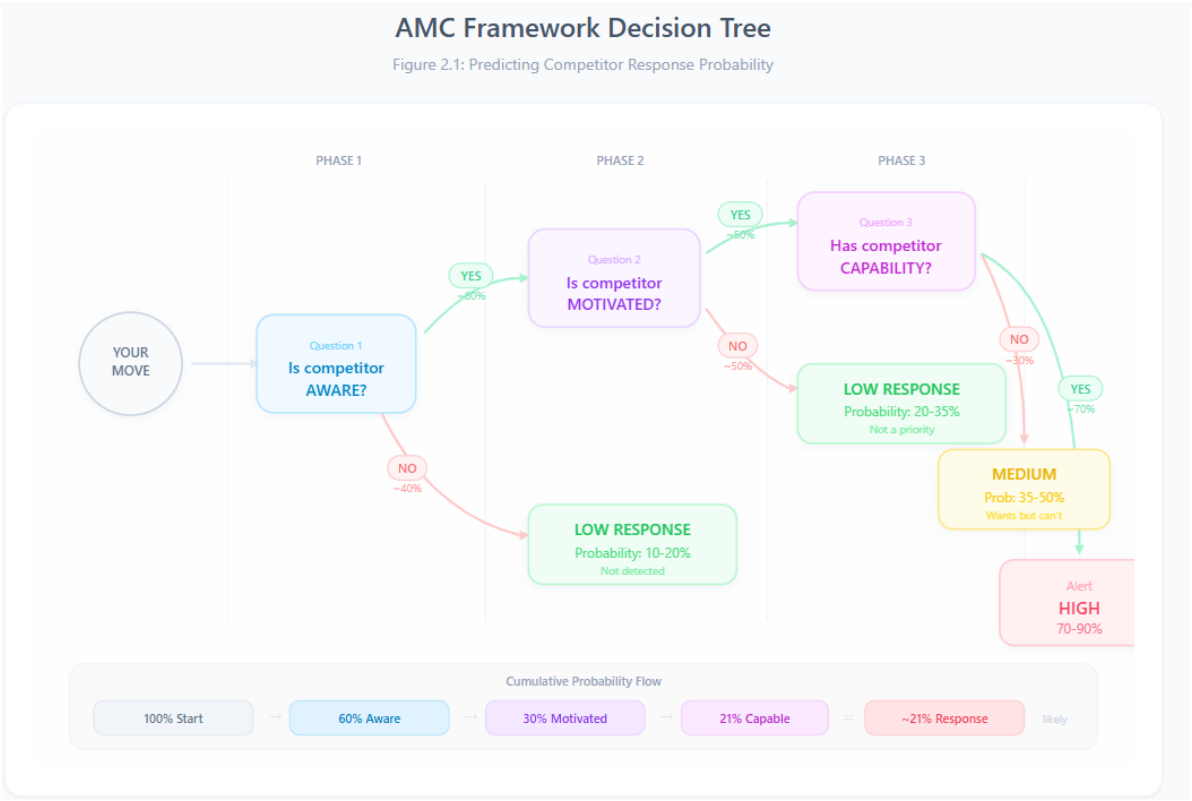
1. **Predicting competitor responses** (the AMC Framework and Competitive Repertoire Analysis)
2. **Evaluating the economic outcomes** of different competitive scenarios (the Exchange Value methodology)

Together, these tools transform competitive intelligence from a descriptive exercise ("What is the competitive landscape?") into a predictive and prescriptive discipline ("What will happen if we do X, and is it worth doing?").

2. The AMC Framework: Predicting Competitive Responses

The Awareness-Motivation-Capability (AMC) Framework provides a systematic approach to predicting competitive responses. It answers the fundamental question: *When faced with our strategic move, what will competitors do?*

The framework rests on a simple but powerful insight: for a competitor to respond to our action, three conditions must be met *simultaneously*. The competitor must be **Aware** of our action, **motivated** to respond, and have the **Capability** to mount an effective response. If any condition is absent, the response is unlikely.



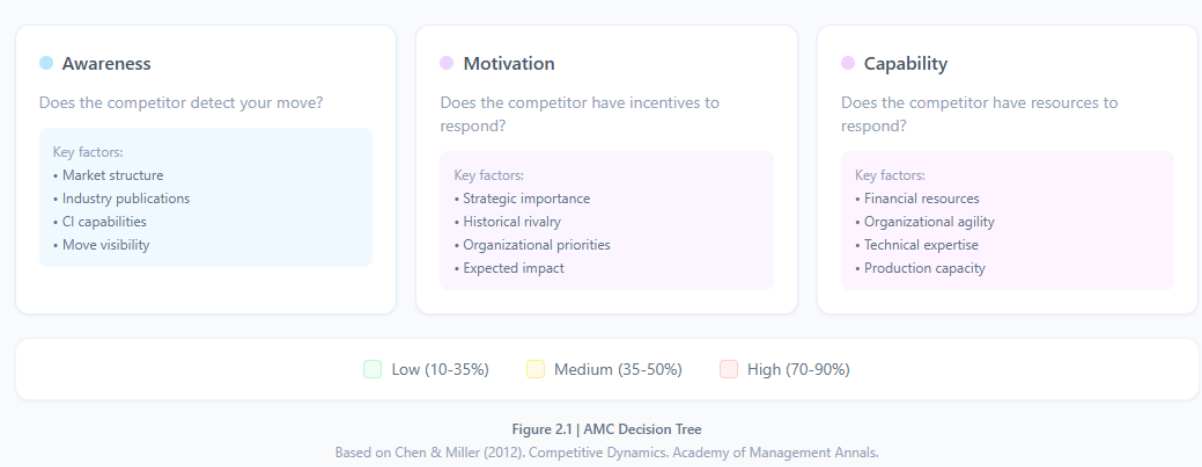


Figure 2.1 | AMC Decision Tree
Based on Chen & Miller (2012). Competitive Dynamics. Academy of Management Annals.

2.1 Awareness: Will They See It?

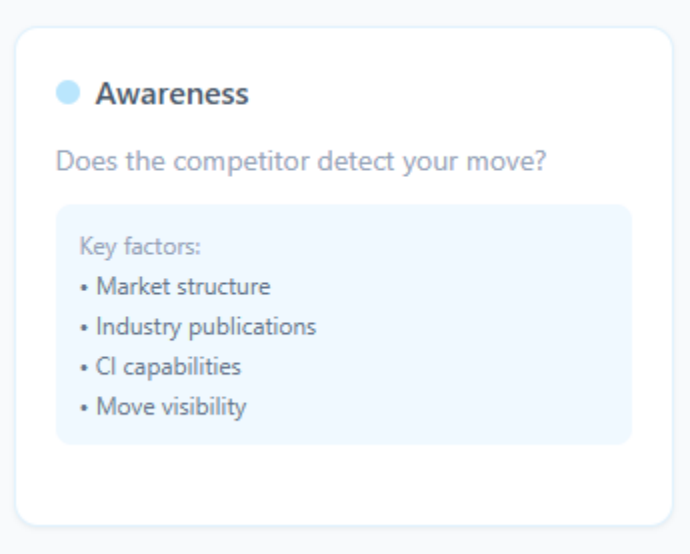
The first condition for a competitive response is awareness. Does the competitor detect the action? This seemingly simple question has profound strategic implications because *the visibility of moves varies dramatically* based on several factors.

Market Structure: Concentrated markets with few players have higher visibility than fragmented markets. In the commercial aircraft industry (Boeing vs. Airbus), every move is immediately visible. In restaurant services, a new menu offering in Chicago may go unnoticed by competitors in Dallas.

Communication Channels: Industry associations, trade publications, social media, and financial analyst calls amplify signals. A product announcement at CES reaches every competitor within hours; a quiet pilot program in a secondary market may take months to surface.

Monitoring Capabilities: Sophisticated CI functions detect moves earlier. Companies like P&G and Unilever maintain extensive competitive monitoring systems that track competitor pricing, promotions, and product changes in real-time across thousands of retail locations.

Move Characteristics: Public price changes are immediately visible; subtle product improvements may go unnoticed. A 10% price cut announced in a press release differs fundamentally from a 10% discount offered quietly through targeted promotions.



Example: Netflix's Quiet International Expansion
When Netflix expanded into European markets in 2012-2014, traditional broadcasters were slow to perceive the threat. Netflix deliberately avoided high-profile marketing, instead growing through word of mouth and targeted digital advertising, invisible to competitors monitoring traditional media channels. By the time BBC and ITV recognised the competitive threat, Netflix had accumulated millions of subscribers and commissioned original content. The low-visibility entry strategy bought Netflix 18-24 months of response-free growth.

Strategic Application: Designing Move Visibility

When planning a competitive move, systematically assess how quickly competitors will learn about it. Can we design the move to delay detection? Which competitors have the strongest monitoring capabilities? Sometimes you want maximum visibility (to deter entry or signal commitment); sometimes, minimum visibility (to build position before competitors can respond).

2.2 Motivation: Will They Care Enough to Respond?

Even aware competitors may choose not to respond. Motivation depends on the competitor's assessment of *what they stand to lose by not responding* versus *what it will cost them to respond*. Several factors shape this calculus.

Strategic Importance: Is the affected market core to the competitor's strategy? When Amazon launched AWS, Microsoft responded aggressively (cloud is core to its future); Oracle responded slowly (its focus remained on-premises databases). The same "threat" triggered radically different responses based on strategic centrality.

Historical Rivalry: Past conflicts create motivation for retaliation independent of economic calculation. The Samsung-Apple litigation history means each company is primed to respond more aggressively to the other's moves than pure economics would suggest. Rivalry has emotional and institutional momentum.

Organisational Priorities: Competitors distracted by other issues may not respond. A competitor undergoing a CEO transition, merger integration, or financial restructuring has limited bandwidth for competitive response, regardless of the strategic threat.

Expected Impact: Minor threats may not warrant the cost of response. If our action affects 2% of a competitor's revenue, the expected value of the reaction may be negative after accounting for response costs, management attention, and opportunity costs.

Motivation Assessment Matrix

Figure 2.2: Predicting Competitor Response Based on Motivation & Capability

Certain Response (High/High)

Highest threat. Competitor will almost certainly respond.

Action: Prepare countermeasures before your move

Frustrated (High/Low)

Wants to respond but lacks resources. May seek partnerships.

Action: Monitor for capability changes or alliances

Opportunistic (Low/High)

Has resources but market isn't strategic. May respond if easy.

Action: Avoid provoking unnecessary competition

Unlikely Response (Low/Low)

Neither motivated nor capable. Lowest priority to monitor.

Action: Periodic check-ins only

Example Competitors Plotted

A Market Leader B Direct Rival C Cash-strapped D Tech Giant E Diversified F Niche Player

Figure 2.2 | Motivation Assessment Matrix

Based on Chen & Miller (2012). Competitive Dynamics. Academy of Management Annals.

2.3 Capability: Can They Actually Respond?

Motivated, aware competitors still need the capability to respond effectively. Capability assessment asks: *What would it take for this competitor to mount an effective response, and can they actually do it?*

Financial Resources: Cash reserves and access to capital determine the scale of possible response. A competitor with $10B in cash can sustain price wars that would bankrupt a competitor with $100M. Amazon's willingness to accept years of losses in new markets (e.g., Amazon Fresh) relies on financial capacity others cannot match.

Organisational Agility: Speed of decision-making and implementation varies dramatically. Tesla can announce and implement price changes in days; traditional automakers require months of dealer negotiations. This agility gap creates windows of opportunity.

Relevant Expertise: Technical or market knowledge required for the response may be absent. When fintech companies disrupted traditional banking with mobile-first experiences, many banks lacked the software engineering talent to respond quickly. Capability gaps can take years to close.

Capacity: Production capacity, distribution network, and talent availability constrain response options. Intel's multi-year struggle to respond to AMD's chiplet architecture reflected manufacturing capability gaps that billions in investment couldn't quickly close.

Example: Kodak's Digital Photography Response

Kodak was AWARE of digital photography—they invented the first digital camera in 1975. Kodak was MOTIVATED—they saw the threat to their film business clearly by the 1990s. But Kodak lacked the CAPABILITY to respond effectively:

• Financial Structure: Kodak's profit model depended on consumables (film, paper, chemicals); digital photography eliminated these revenue streams with no replacement.

• Organisational DNA: Kodak's processes, metrics, and culture were optimised for chemical imaging; digital imaging required entirely different competencies.

• Channel Conflicts: Kodak's distribution partners (photo retailers, minilab operators) would be destroyed by digital; this created internal resistance to an aggressive digital strategy.

Despite awareness and motivation, capability constraints made an adequate response nearly impossible.

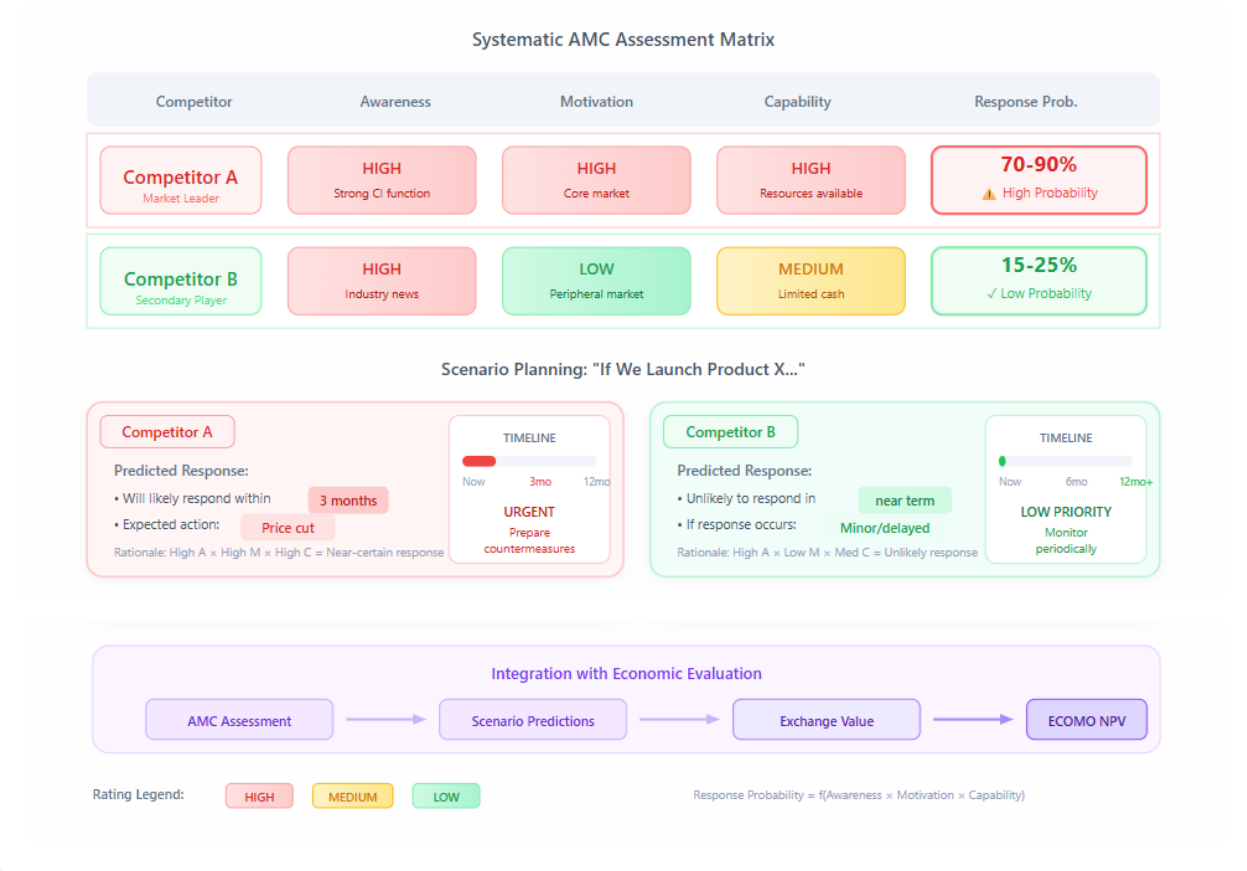
2.4 Integrating AMC: From Analysis to Prediction

AMC's power lies in systematic application. For each major competitor, assess all three dimensions to generate a **response probability estimate** and **response timeline projection**.

Competitor	Awareness	Motivation	Capability
Comp. A	HIGH - Strong CI function	HIGH - Core market	HIGH - Resources available
Comp. B	HIGH - Industry news	LOW - Peripheral market	MEDIUM - Limited cash

This systematic assessment enables scenario planning: "If we launch Product X, Competitor A will likely respond within 3 months with a price cut (high A, high M, high C), while Competitor B will not respond in the near term (high A, low M, medium C)." These scenario predictions then feed directly into economic evaluation using the Exchange Value methodology.

Figure 2.3: Competitor Response Analysis & Scenario Planning



Systematic Assessment

For each major competitor, evaluate all three AMC dimensions to generate:

- **Response probability estimate** - likelihood of competitive action
- **Response timeline projection** - expected timing of reaction
- **Response type prediction** - price, product, marketing actions

Economic Integration

Scenario predictions feed directly into economic evaluation:

Exchange Value methodology: Quantify competitive response impact on your initiative's expected returns using ECOMO NPV calculations

Figure 2.3 | AMC Systematic Assessment

Based on Chen & Miller (2012). Competitive Dynamics. Academy of Management Annals.

3. Competitive Repertoire Analysis: Predicting How They Will Respond

While AMC predicts *whether* a competitor will respond, **Competitive Repertoire Analysis predicts *how* they will react**. Companies develop "repertoires" of competitive actions they tend to repeat—habitual patterns that emerge from organisational culture, capability profiles, and strategic history. By analysing a company's historical competitive moves, we can anticipate its future responses with considerable precision.

3.1 Key Dimensions of Competitive Repertoire

Action Volume: Total **number of competitive actions in a given period**. High-volume firms are aggressive, constantly probing and testing; low-volume firms are defensive, responding only when directly threatened. Amazon executes thousands of competitive actions annually (price changes, product launches, service expansions); traditional retailers might execute dozens.

Action Complexity: Diversity of action types employed (pricing, product, marketing, M&A, legal, partnerships). Complex repertoires are harder to predict but may indicate strategic sophistication. Apple's repertoire spans product innovation, ecosystem development, retail experience, and legal action—a highly complex mix.

Action Speed: Average time between competitor action and firm response. Fast responders create deterrence effects—competitors know that any attack will be met with immediate retaliation. Walmart's reputation for matching competitor prices within 24 hours deters price competition.

Action Unpredictability: Deviation from historical patterns. Unpredictable firms create uncertainty for competitors but may also signal strategic confusion. Tesla's unpredictable pricing (frequent, significant adjustments) keeps competitors off balance. Still, it may reflect operational challenges rather than strategic intent.

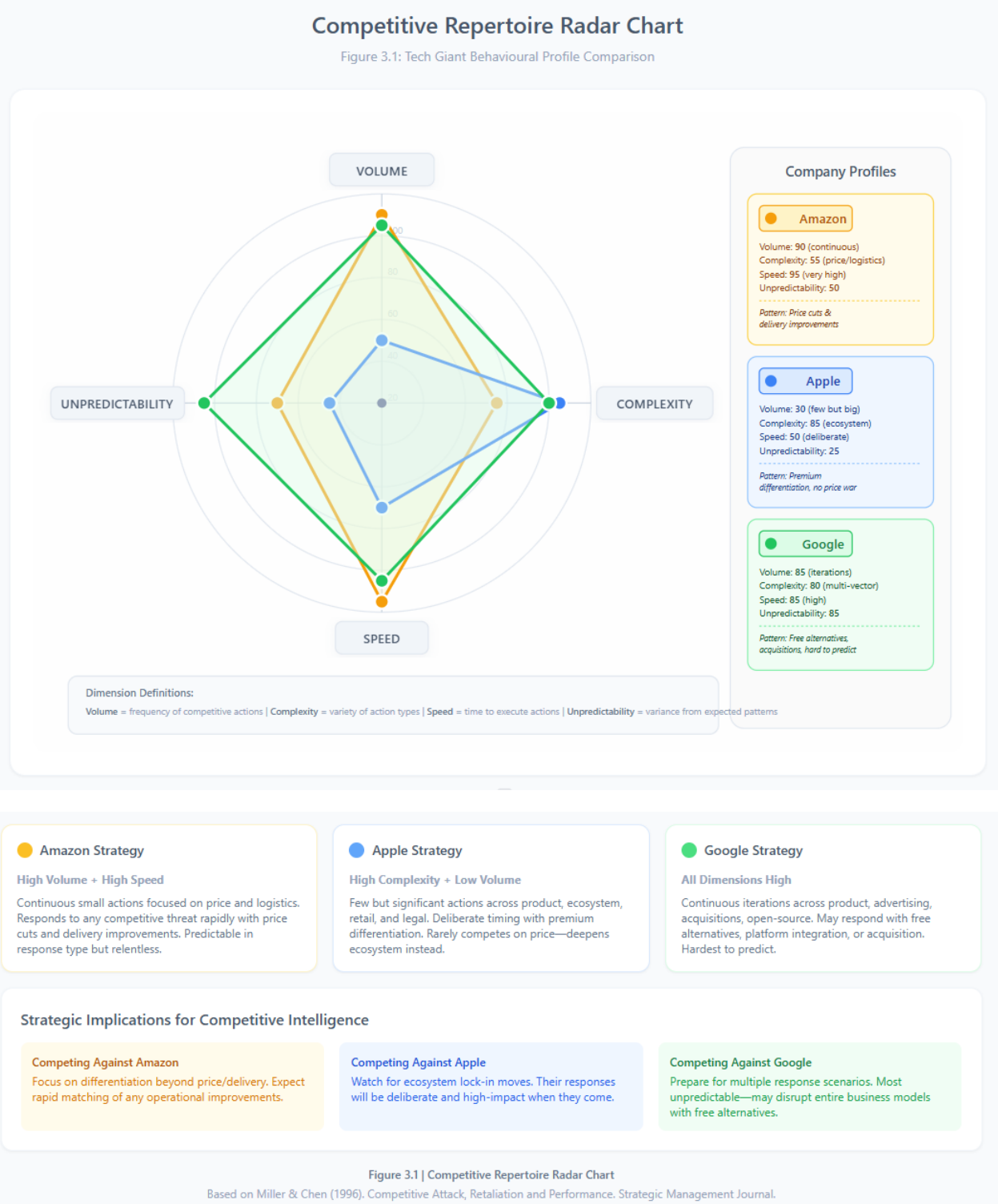


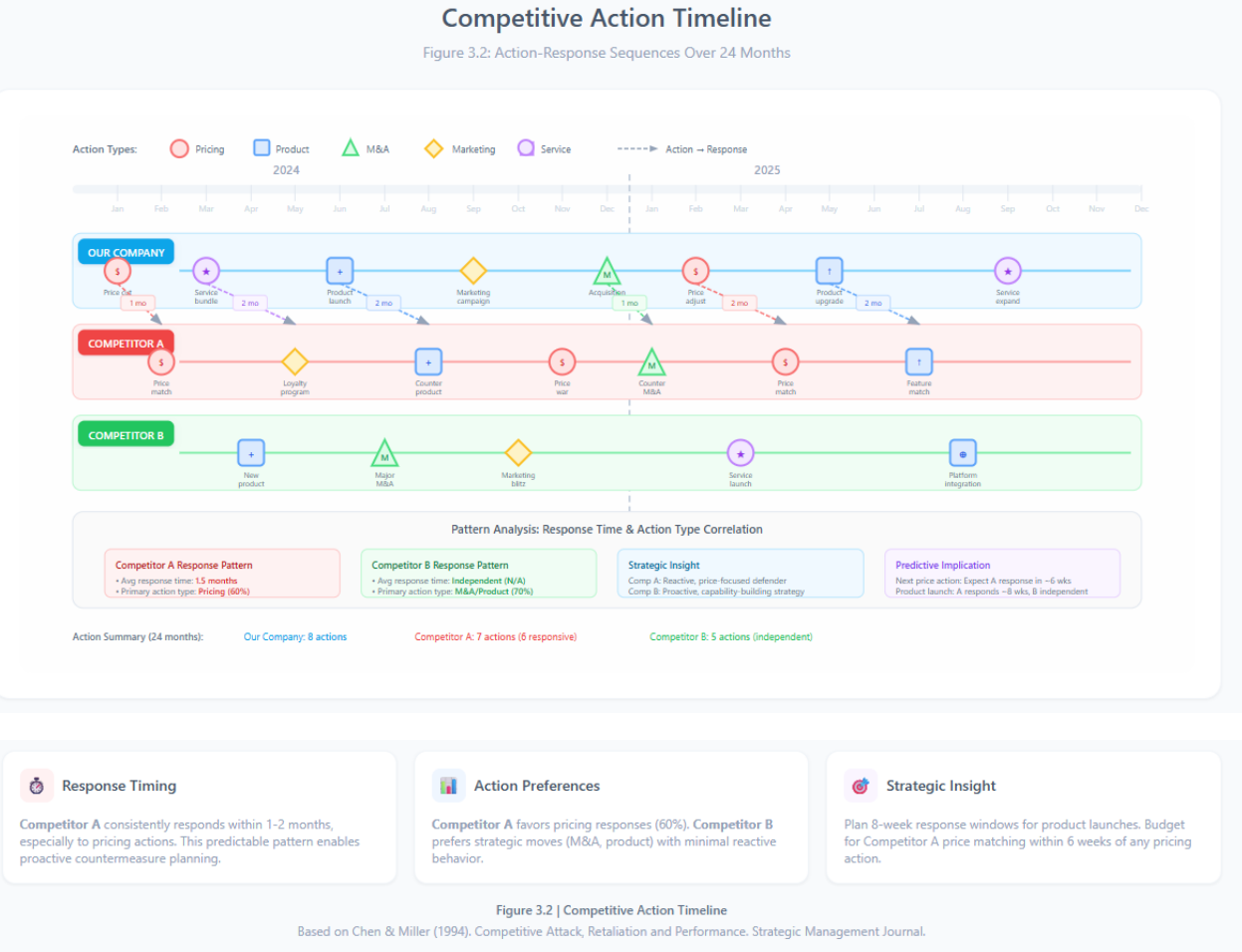
Figure 3.1 | Competitive Repertoire Radar Chart

Based on Miller & Chen (1996). Competitive Attack, Retaliation and Performance. Strategic Management Journal.

3.2 Building a Competitive Repertoire Database

Systematic repertoire tracking requires structured data collection and analysis. The goal is to build a searchable history of competitive actions that reveals patterns over time.

3. **Define Action Categories:** Establish categories relevant to your industry: pricing moves, product launches, marketing campaigns, partnership announcements, M&A activity, legal actions, executive changes, capacity investments, geographic expansion.
4. **Establish Monitoring Protocols:** Define data sources and collection frequency for each category. Price monitoring might be daily; M&A monitoring might be continuous via news alerts.
5. **Create Structured Database:** Record date, actor, action type, target (if applicable), estimated impact, and response (if this was a response to another action).
6. **Analyse Patterns Quarterly:** Review accumulated data to update competitor profiles. Look for changes in repertoire that might signal strategic shifts.
7. **Inform Scenario Planning:** Use pattern analysis to generate specific predictions about likely competitor responses to contemplated strategic moves.



Response Timing

Competitor A consistently responds within 1-2 months, especially to pricing actions. This predictable pattern enables proactive countermeasure planning.

Action Preferences

Competitor A favors pricing responses (60%). **Competitor B** prefers strategic moves (M&A, product) with minimal reactive behavior.

Strategic Insight

Plan 8-week response windows for product launches. Budget for Competitor A price matching within 6 weeks of any pricing action.

Figure 3.2 | Competitive Action Timeline

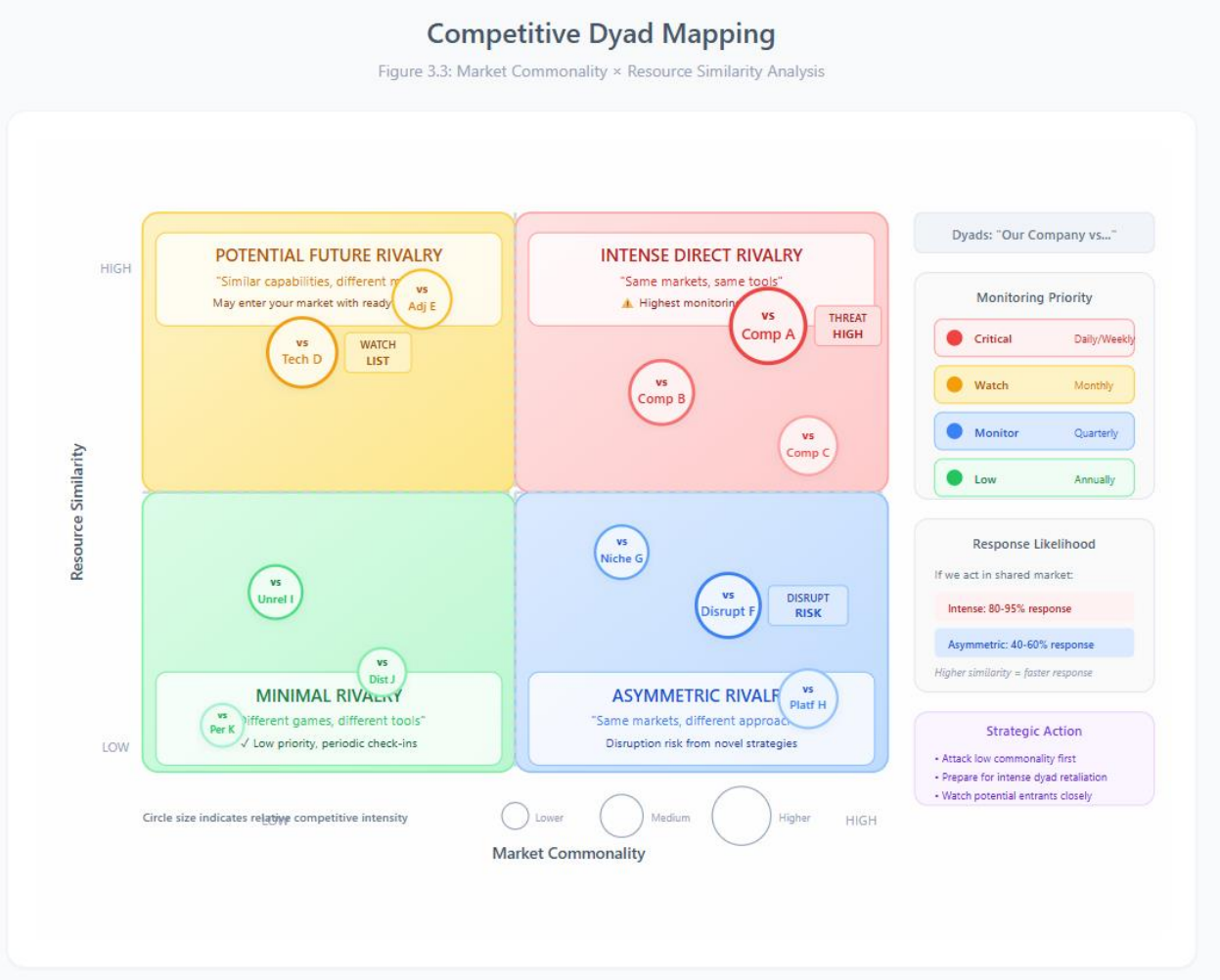
Based on Chen & Miller (1994). Competitive Attack, Retaliation and Performance. Strategic Management Journal.

3.3 Market Commonality and Resource Similarity

The intensity of rivalry between two specific companies is determined by two structural factors that shape every competitive interaction.

Market Commonality: The degree to **which competitors participate in the same markets**. High overlap creates frequent points of contact and potential conflict. Google and Microsoft compete in search, browsers, productivity software, cloud services, and operating systems—creating high market commonality and intense mutual monitoring.

Resource Similarity: How similar are the competitors' resource bases? Similar resources mean similar strategic options and direct competition for the same positions. Apple and Samsung have identical manufacturing capabilities, similar R&D investments in mobile technology, and similar global distribution—making them direct competitors who can match each other's moves.



Intense Direct Rivalry (High/High)

Competitors with similar resources targeting the same markets. Any move will likely trigger immediate, capable response.

CI Priority: Daily monitoring, war game scenarios, response planning

Potential Future Rivalry (High/Low)

Competitors with similar capabilities but currently in different markets. Could enter your market with ready resources.

CI Priority: Monthly scans for market entry signals, capability tracking

Asymmetric Rivalry (Low/High)

Competitors in same markets but with different resource profiles. Disruption risk from novel approaches and business models.

CI Priority: Quarterly analysis of alternative business models, disruption signals

Minimal Rivalry (Low/Low)

Competitors with different resources in different markets. Low immediate threat but may indicate industry boundary evolution.

CI Priority: Annual environmental scan, partnership opportunity assessment

Strategic Application

When Planning Competitive Actions

Consider which dyads will be affected. Actions in high-commonality markets against high-similarity competitors will generate the fastest and most capable responses.

Dynamic Monitoring

Dyad positions shift over time. A "Potential Future" competitor can become "Intense Direct" through market entry or capability acquisition. Update mapping quarterly.

Figure 3.3 | Competitive Dyad Mapping

Based on Chen (1996). Competitor Analysis and Interfirm Rivalry. Academy of Management Review.

The Mutual Forbearance Paradox: High overlap on both dimensions creates intense potential rivalry. However, very high overlap can create "mutual forbearance"—competitors may avoid confrontation to prevent destructive escalation, as each knows the other can retaliate effectively. Coca-Cola and PepsiCo rarely engage in direct price wars despite high market commonality and resource similarity; each knows the other will match any aggressive move, making escalation mutually destructive.

4. Exchange Value: Evaluating Competitive Scenarios

The AMC Framework and Repertoire Analysis enable us to predict competitor responses—but prediction alone is insufficient for strategic decision-making. We need a method to *evaluate the economic outcomes* of different competitive scenarios. This is where Exchange Value methodology provides the essential analytical bridge.

The Strategic Logic: From Prediction to Evaluation
Consider a simplified strategic decision: Should we cut prices by 15%? AMC Analysis tells us: "Competitor A will likely respond with a matching cut within 4 weeks; Competitor B will not respond." Repertoire Analysis tells us: "Competitor A typically responds to price moves with price moves (not product or marketing responses)." But we still need to answer: "Given these predicted responses, what will be the economic impact? Is the price cut worth it?" The Exchange Value methodology provides the framework for answering this final, crucial question.

4.1 The Core Concept: Value Relative to Alternatives

Exchange Value, drawn from pricing theory, provides a rigorous framework for comparing strategic alternatives. The fundamental equation is:

Exchange Value = Reference Value + Differential Value

Reference Value: The value of the next-best alternative—what happens if we take no action, or pursue a different strategy. This establishes the baseline against which we measure improvement.

Differential Value: The change in economic outcomes compared to the reference alternative. This can be positive (our strategy creates value above the alternative) or negative (our strategy destroys value relative to inaction). Differential value includes both quantitative factors (revenue, cost, market share) and qualitative factors (strategic positioning, optionality, risk).

4.2 Applying Exchange Value to Competitive Scenario Evaluation

When evaluating competitive scenarios generated by AMC analysis, the Exchange Value methodology structures the evaluation as follows:

Step 1: Define the Reference Scenario

Establish what happens if you take no competitive action. This baseline must account for expected market evolution, competitor actions independent of your move, and the natural trajectory of your business. The reference scenario is not static—markets evolve even without your intervention.

Step 2: Map Scenario Branches

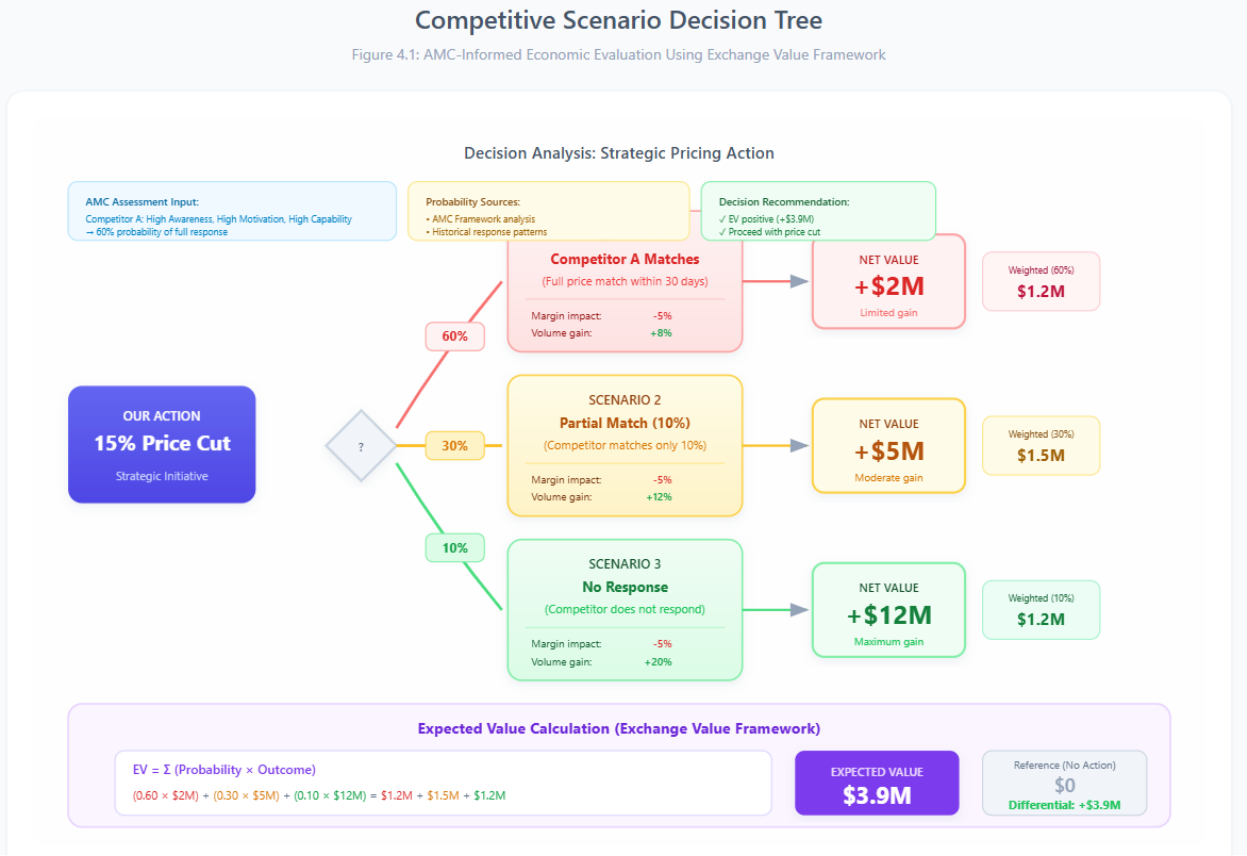
Using AMC analysis and repertoire insights, identify the most probable competitor responses to your contemplated action. Each response possibility creates a "scenario branch" with associated probability and economic outcome.

Step 3: Calculate Differential Value for Each Branch

For each scenario branch, quantify the differential value compared to the reference scenario. Consider revenue impact (volume and price effects over the time horizon), cost implications (implementation costs, competitive response costs), strategic effects (market position, customer relationships, competitive dynamics), and risk factors (downside scenarios, irreversibility).

Step 4: Probability-Weight the Analysis

Combine the scenario probabilities (from the AMC analysis) with the differential values to calculate the expected value. This creates a rigorous framework for comparing strategic alternatives under uncertainty.



AMC → Probabilities

AMC assessment drives scenario probabilities. High A × High M × High C = 60% chance of full competitive response. This links qualitative analysis to quantitative valuation.

Exchange Value Framework

Expected Value vs Reference Scenario. Even with 60% probability of competitive matching, the initiative generates positive differential value of $3.9M over doing nothing.

Decision Clarity

The decision tree provides clear go/no-go criteria. Positive EV supports proceeding; negative EV suggests reconsidering. Risk tolerance determines minimum acceptable EV threshold.

Sensitivity Analysis

What if Competitor A response probability increases?

70% match probability:	EV = $3.3M
80% match probability:	EV = $2.7M
90% match probability:	EV = $2.1M

Still positive even at 90% response rate

Integration with ECOMO Model

Feed EV results into full ECOMO NPV calculation:

- Apply discount rate for multi-year projection
- Include implementation costs
- Factor in organizational capacity
- Calculate risk-adjusted NPV

Figure 4.1 | Competitive Scenario Decision Tree

Integrates AMC Framework (Chen & Miller, 2012) with Exchange Value Methodology

4.3 Comprehensive Example: Market Entry Decision

Consider a mid-sized software company evaluating entry into a market currently dominated by an established competitor. We'll apply the complete framework.

Scenario: Enterprise Analytics Market Entry

CONTEXT: Our company (revenue of $200M) is considering launching an enterprise analytics product. Incumbent competitor (revenue $2B) has 60% market share. Market size: $500M, growing 15% annually.

AMC ANALYSIS OF INCUMBENT:

- Awareness: HIGH (concentrated market, we would announce publicly)
- Motivation: MEDIUM-HIGH (core market, but we're small; strategic importance high, but expected impact limited)
- Capability: HIGH (financial resources, sales force, product development capacity)

Prediction: 70% probability of competitive response within 6 months

REPERTOIRE ANALYSIS:

Incumbent's historical pattern: Responds to new entrants with (1) price promotions to existing customers, (2) feature acceleration in product roadmap, (3) rarely—acquisition of entrant if successful.

EXCHANGE VALUE CALCULATION:

Reference Scenario (no entry): Continue current business trajectory: +$0 incremental value

Entry Scenario, Branch A (70% prob): Incumbent responds aggressively

- Year 1-2: Lower customer acquisition (incumbent retention promotions), development cost $15M
- Year 3-5: Achieve 8% market share in a growing market
- NPV: +$25M

Entry Scenario, Branch B (20% prob): Incumbent responds moderately

• Year 1-2: Moderate customer acquisition, development cost $15M

• Year 3-5: Achieve 15% market share

• NPV: +$60M

Entry Scenario, Branch C (10% prob): Incumbent acquires us

• Acquisition premium over current valuation

• NPV: +$80M

EXPECTED VALUE: (0.7 × $25M) + (0.2 × $60M) + (0.1 × $80M) = $37.5M

DIFFERENTIAL VALUE vs. Reference: +$37.5M

DECISION INPUT: An expected positive differential value supports market entry, with a clear understanding of scenario probabilities and downside limits.

4.4 Secondary Application: Valuing the CI Function Itself

Exchange Value methodology can also be applied to evaluate investments in competitive intelligence capabilities. Here, the reference is your organisation's decision-making quality without systematic CI, and the differential value is the improvement in decision outcomes *with* CI capability.

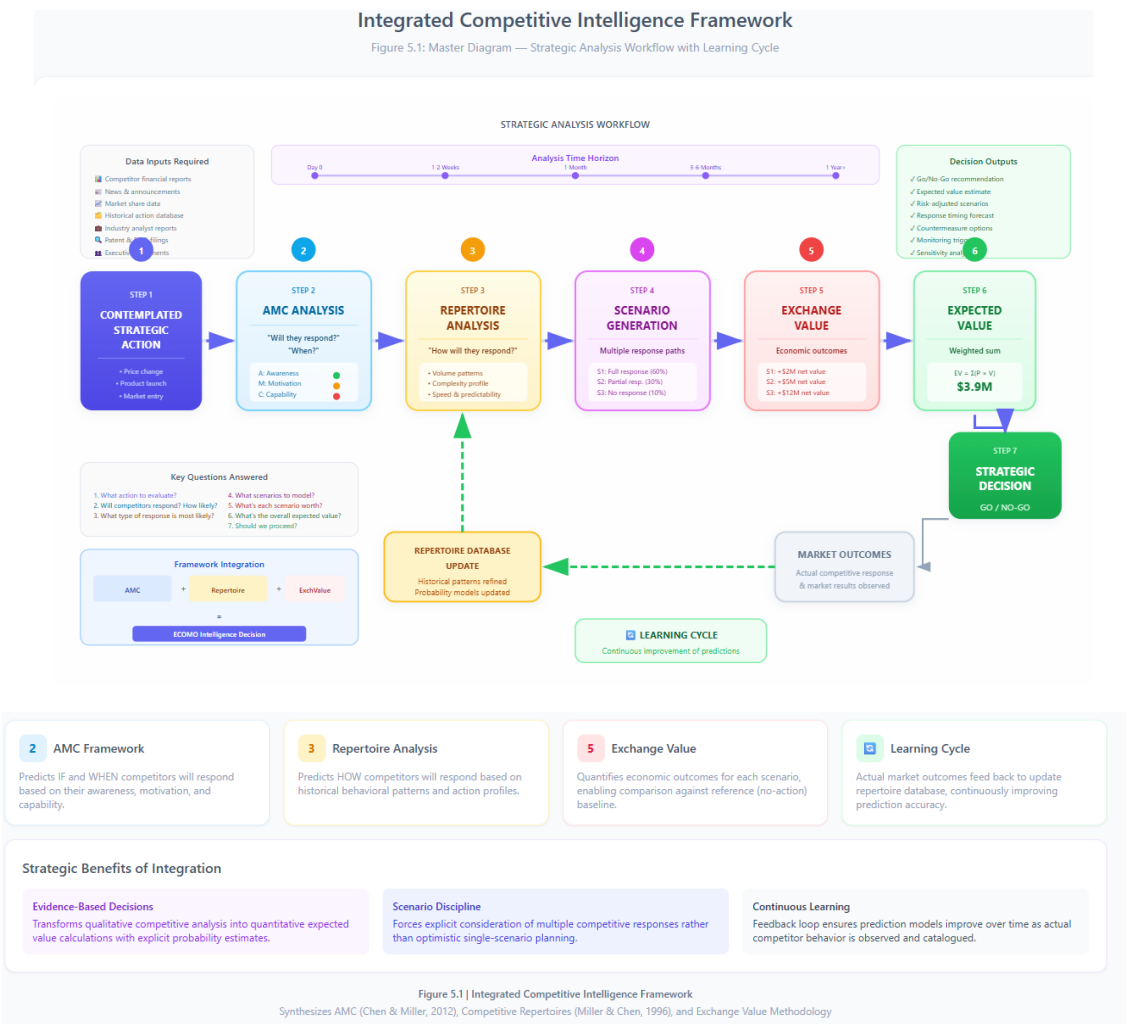
Differential value from CI investment includes: reduced decision-making time (faster response to competitive threats), avoided strategic mistakes (early warning prevents costly errors), earlier opportunity identification (time advantage in recognising market shifts), and preservation of competitive advantage (detecting threats before they materialise). Quantifying these benefits provides the business case for CI investment levels.

5. Synthesis: The Integrated Framework

The tools presented in this technical note form an integrated system for competitive intelligence. Each component addresses a specific question, and together they enable systematic strategic analysis.

Framework Component	Question Answered	Output
AMC Framework	Will competitors respond? When?	Response probability, timeline
Repertoire Analysis	How will they respond?	Likely response types, patterns
Exchange Value	What are the economic outcomes?	Expected value, scenario comparison

This integrated framework transforms competitive intelligence from a descriptive function ("What is the competitive landscape?") into a predictive and prescriptive capability ("What will happen if we do X, what should we do, and why?"). The progression from Porter's static analysis to this dynamic, scenario-based approach reflects the evolution of competitive reality itself.



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